IT is hereby notified that the Reserve Bank of Zimbabwe, in terms of section 40 of the Exchange Control Regulations, 1996, and with the approval of the Minister responsible for Finance, has made the following order:—

1. This order may be cited as the Exchange Control (Cotton Finance) (Amendment) Order, 2026 (No. 1).

2. The Exchange Control (Cotton Finance) Order, 2008, published in Statutory Instrument 150 of 2008 (hereinafter called "the principal order") is amended in section 2 ("Interpretation") by the repeal of the following definitions—

(a) "interbank market"; and

(b) "Memorandum of Deposit Scheme".

3. Section 5 of the principal order (Financing of seed cotton purchases by seed cotton merchants) is amended by—

(a) the repeal of subsection (1) and (2) and the substitution of—

"(1) Notwithstanding section 4 (1), but subject to section 4(2), seed cotton merchants shall be permitted to access both offshore and onshore funds for purposes of purchasing seed cotton.

(2) For the avoidance of doubt, it is declared that seed cotton merchants can use own savings including savings of any other kind the person may hold, or borrow or raise funds from the local market to finance the production and buyback of seed cotton.";

(b) the repeal of subsection (4) and the substitution of—

"(4) The purchase price of seed cotton shall be denominated in United States dollars and the settlement ratio between foreign currency and Zimbabwean currency shall be determined by the Reserve Bank from time to time.".

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4. Section 6 (Purchases of contract seed cotton) of the principal order is amended—

(a) in subsection (1) by the deletion of "section 3(a)" and the substitution of "section 3(b)";

(b) by the repeal of subsection (4) and the substitution of—

"(4) Where a seed cotton merchant finances any seed cotton grower, the amount used to finance the grower may be set off against the price of the seed cotton sold to the seed cotton merchant by the seed cotton grower.".

5. Section 8 (Foreign currency obtained by accessing offshore funds for financing of seed cotton purchases) of the principal order is amended—

(a) by the repeal of the section head, "Foreign currency obtained by accessing offshore funds for financing of seed cotton purchases" and the substitution of "Foreign currency obtained for financing of seed cotton purchases";

(b) in subsection (1) by the deletion of "offshore";

(c) in subsection (2) by the deletion of "accessed from offshore funds" and substitution of "accessed for purposes of financing the production and purchasing of seed cotton".

6. Section 9 ("Submission of returns") of the principal order is amended by the deletion of subsection (2).

7. The Schedule to the principal order is amended under Form EC Cot 1 by the deletion of the word "offshore" wherever it appears.

8. The Schedule to the principal order is amended by the deletion of Form EC Cot 2 and the substitution of—

"SCHEDULE

FORM EC Cot 2

RESERVE BANK OF ZIMBABWE

WEEKLY COTTON BUYING RETURN

Name of seed cotton merchant.....

Period covered .....

Farmer's name	Seed Cotton Purchased (**kgs**)	Seed Cotton Purchased (**US$**)
TOTAL		

Name in full .....

Designation .....

Date ....."